This chapter lays the foundation for the more detailed empirical analyses that follow. By establishing the nature and scope of the populist challenge to IOs, we set the stage in the rest of the book for exploring how IOs adapt to, respond to, and defend themselves against these threats.

3.1 The Rise of Populist Discontent

Populist ideology has left its mark throughout history, with modern populism often traced back to movements in Russia and the United States in the late nineteenth century. Over the past several decades, populism has flourished across North America, Europe, and Latin America, and its influence has now extended to nearly every corner of the globe. While populist rhetoric varies depending on the particular grievances of each country's population, its core remains the same: a narrative that pits the "common people" against a "corrupt elite." We offer a broad overview of populism's evolution and its regional manifestations; for a deeper dive, see Mudde and Rovira Kaltwasser (2017); Mudde and Rovira Kaltwasser (2018).

Latin America stands out as a hot spot for populist appeals, with leaders achieving significant success in countries such as Argentina, Bolivia, Brazil, Peru, and Venezuela. Here, populism often hinges on economic inequality and has gained momentum alongside democratic expansion in the region. Broadly, Latin American populism can be categorized into three distinct waves: The first (1929–1960s) capitalized on mass urban migration and industrialization. Leaders mobilized workers—though often excluding indigenous populations—against elites perceived as obstacles to the import substitution industrialization model. The second wave (1990s) occurred in the wake of economic crises, with politicians blaming political elites for blocking liberalization and clinging to protectionist policies. The IMF's involvement in implementing economic reforms was a flashpoint, driving resentment that fueled anti-IO populist rhetoric. The third wave (2000s) thus saw the rise of left-wing leaders like Hugo Chávez, Evo Morales, Rafael Correa, and Daniel Ortega. These leaders rejected the neoliberal reforms of the previous wave, instead prioritizing economic equality and national sovereignty. Their campaigns often emphasized the exploitation of natural resources by foreign entities and were highly critical of international institutions' promotion of globalization.